

AI adoption and system integration

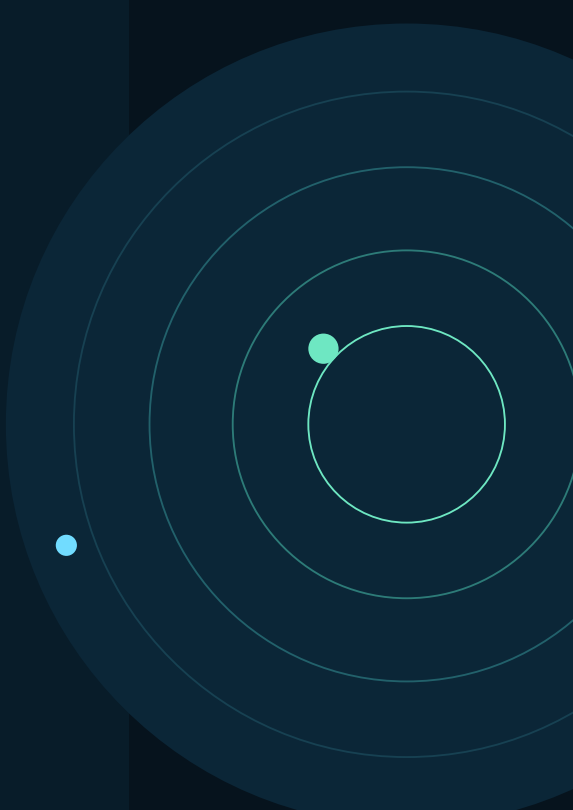
AI use is broader than system integration: among AI-using SMEs, only 26.9%-31.5% report at least one AI tool integrated with business systems.

Two related but distinct views: how widely AI is used, and how deeply it is connected to business systems.

EVIDENCE SCOPE

Table 42 describes all businesses. Table 48 describes only businesses that already report using AI. The two percentages are never subtracted, divided or converted into a funnel.

UKBDS Official source DSIT 2026	95% Uncertainty Intervals retained	SMEs Primary scope Large shown separately
--	---	--



Executive summary

37.4%-57.1% Reported AI use All SME size groups	26.9%-31.5% System integration Among AI-using SMEs	2 populations Comparison rule Never combine
--	---	--

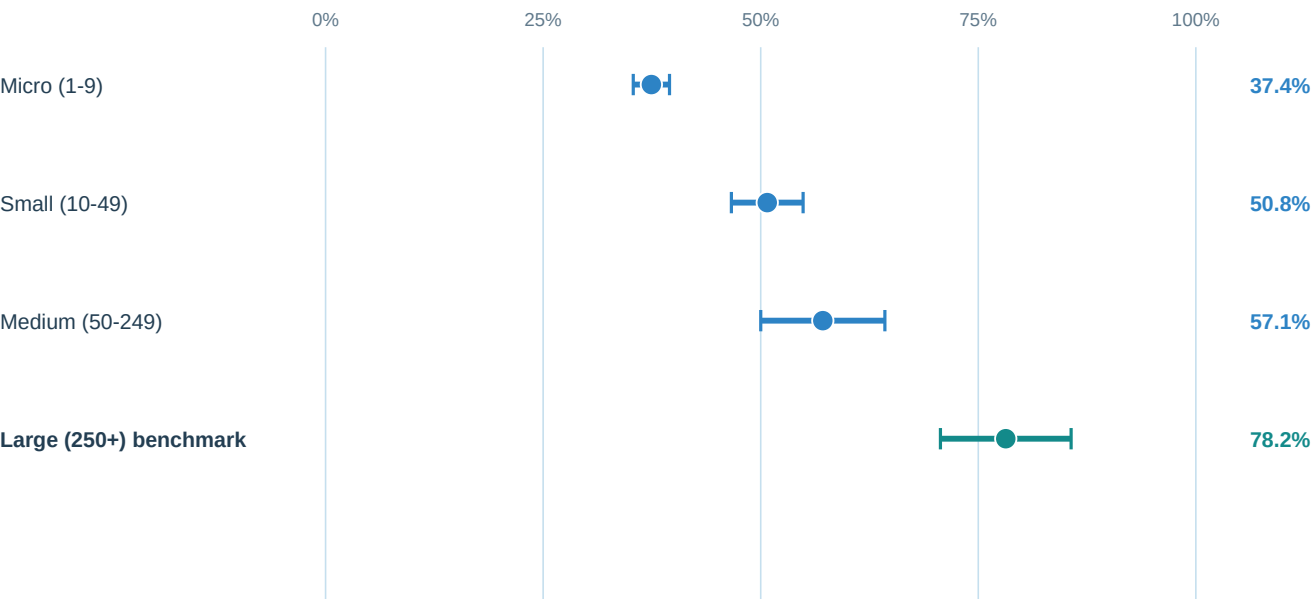
The evidence separates reach from operational embedding. Reported AI use rises across SME size groups, while the integration estimates for micro, small and medium AI users are clustered around three in ten.

Reach is uneven The all-business adoption baseline ranges from 37.4% for micro to 57.1% for medium businesses.	Integration is not universal Among businesses already using AI, the SME integration point estimates range from 26.9% to 31.5%.
The denominator changes Integration percentages cannot be read as shares of all businesses or compared arithmetically with adoption percentages.	Large is a benchmark The large-business integration point estimate is higher, but this report makes no formal significance claim.

A business can report AI use without having AI integrated into its systems. The survey therefore supports a reach-versus-depth distinction.

Reach: reported AI use among all businesses

Denominator: all UK businesses within each published size group.

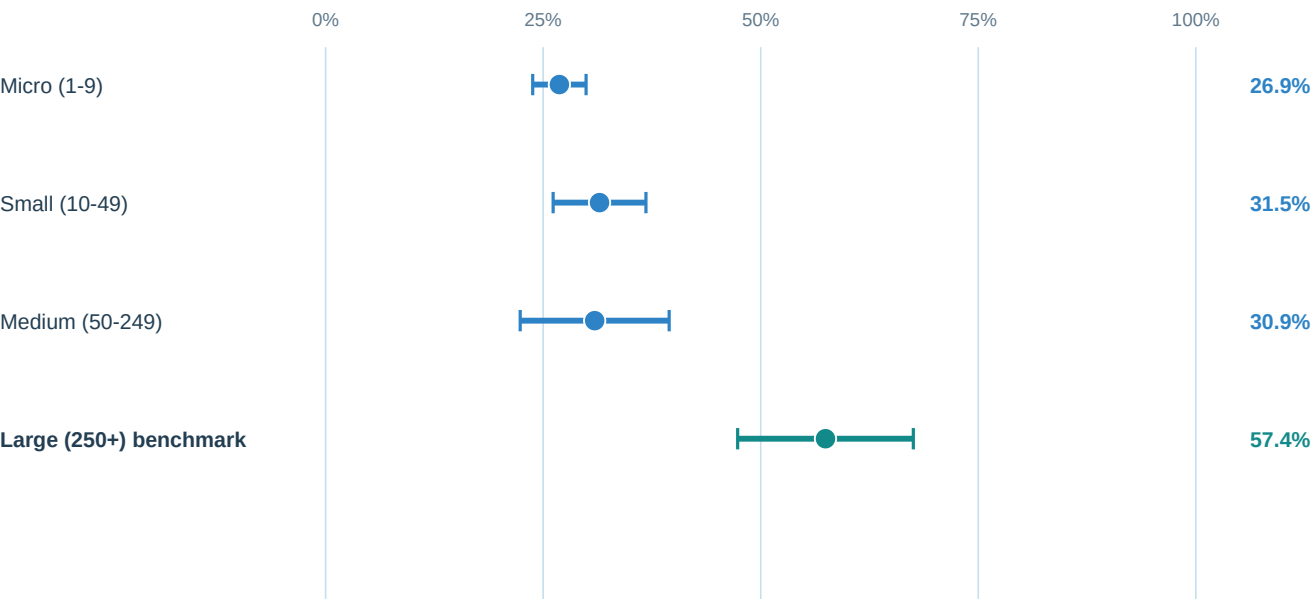


Business size	Estimate	95% interval	Rounded base
Micro (1-9)	37.4%	35.4-39.5%	2,500
Small (10-49)	50.8%	46.6-54.9%	680
Medium (50-249)	57.1%	50.0-64.3%	220
Large (250+) benchmark	78.2%	70.7-85.7%	130

The point estimates rise across the three SME groups. This measure does not show whether use is occasional, recurring or integrated.

Depth: system integration among AI users

Denominator: UK businesses that report using AI technologies.



Business size	Estimate	95% interval	Rounded base
Micro (1-9)	26.9%	23.8-29.9%	960
Small (10-49)	31.5%	26.1-36.8%	350
Medium (50-249)	30.9%	22.4-39.5%	130
Large (250+) benchmark	57.4%	47.4-67.5%	100

These figures are conditional on already using AI. They are not percentages of all UK businesses.

Business interpretation: move from access to operating model

The report does not estimate a conversion rate from use to integration. It does, however, show why adoption conversations should distinguish tool access from recurring, connected workflows.

Use Which tasks are being supported, by whom, and how frequently?	Integration Which systems, data flows and controls connect the AI tool to normal operations?
Ownership Who is accountable for outputs, exceptions, data handling and human review?	Value evidence What outcome is monitored, and what would count as evidence that integration is useful?

Cross-measure insight

- The adoption baseline is size-sensitive, but integration among SME AI users is comparatively clustered in the published point estimates.
- This pattern is consistent with a distinction between access to AI tools and deeper operational embedding.
- The survey does not explain the causes of integration or identify the specific systems involved.
- Sector, workflow and organisational capability should be tested before assuming the same pathway applies to every SME.

Practical hypothesis for later research: barriers to initial use may differ from barriers to system integration.

Method, interpretation and source trail

These reports retain the survey definitions rather than treating every percentage as directly comparable.

Source and fieldwork

Department for Science, Innovation and Technology, UK Business Data Survey 2026. Fieldwork ran from 10 October 2025 to 28 January 2026. Source tables used: Tables 42 and 48.

Denominator

Table 42 covers all UK businesses. Table 48 covers only UK businesses that report using AI technologies. The two populations remain separate.

Uncertainty and bases

The official central estimates and supplied 95% confidence intervals are shown. Unweighted sample bases are rounded respondent counts, not counts of UK businesses. The medium and large groups generally have wider intervals because their bases are smaller.

Interpretation limits

- The findings are descriptive. They do not establish causation or business impact.
- The published package does not provide the covariance, replicate weights, raw microdata or official pairwise method needed for a fully defensible size-group significance test.
- Large businesses are a separate benchmark and are not part of the primary SME result.
- The report does not calculate an adoption-to-integration conversion rate.
- The source does not identify the systems, frequency, quality or effectiveness of integration.

Official material

[UK Business Data Survey 2026 publication](#)

[UK Business Data Survey 2026 technical report](#)

Use this evidence as a disciplined starting point for questions and prioritisation - not as a substitute for organisation-specific assessment.